

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

SIMPLE FORWARDING, INC., *Claimant*

v.

CHINA UNITED LINES LTD. AND NORTON LILLY
INTERNATIONAL, *Respondent*.

DOCKET NO. 2010(F)

Served: October 4, 2024

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

**ORDER REGARDING CLAIMANT’S MOTION FOR LEAVE TO AMEND COMPLAINT AND REQUEST
FOR RETURN TO INFORMAL ADJUDICATION**

On September 12, 2024, Claimant filed a Motion for Leave to Amend Complaint and Request for Return to Informal Adjudication (“Motion for Leave”) and a proposed Amended Complaint. For the reasons discussed below, I permit Claimant to amend its Complaint, and deny Claimant’s request for return to informal adjudication. Respondents China United Lines Ltd. and Norton Lilly International are required to respond to the Amended Complaint or a default decision may be entered against them.

I. Background

Claimant filed a private complaint alleging a claim that the Office of the Secretary received on May 28, 2024 (“Complaint”). The Complaint contained only one exhibit. The Complaint also names two respondents: CULines and Norton Lilly International (“Norton Lilly”).

On June 3, 2024, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment.

On June 27, 2024, Norton Lilly sent an email to the Commission’s Judges@fmc.gov email address, asking to be removed from the case.

On June 28, 2024, CULines filed a Verified First Motion of Specially Appearing Respondent C.U.Lines Limited To Dismiss The Complaint for Lack of Service or Jurisdiction (“Motion to Dismiss”). CULines argued that “CULines” is a “non-existent entity[.]” (Motion to Dismiss, at p. 1). Accordingly, legal entities China United Line Limited and C.U. Lines Limited have not properly been served. (Motion to Dismiss, at pp. 2-3). Moreover, the Commission lacks jurisdiction over the legal entities because neither is currently an ocean common carrier, although C.U. Lines Limited was previously. (Motion to Dismiss, at pp. 3-5). CULines stated in

a footnote that “it would not in any event consent to the informal procedures under Subpart [S].” (Motion to Dismiss, at p. 3).

On July 11, 2024, Claimant filed Complainant’s Response in Opposition to Respondent CULine’s Motion to Dismiss.

On July 18, 2024, CULines filed a Verified Reply in Support of Motion to Dismiss the Complaint for Lack of Service or Jurisdiction (“Reply”), with an exhibit attached (“Ex. A”). Among other things, Ex. A includes a bill of lading. (Reply, at p. 5). The bill of lading appears to have been issued by C.U. Lines Ltd.

On July 18, 2024, the Small Claims Officer issued an Order Addressing Respondent CULines’ Motion to Dismiss and Respondent Norton Lilly International’s June 27, 2024, Email (the “July 18, 2024, Order”). The July 18, 2024, Order denied the Motion to Dismiss, and required CULines and Norton Lilly to file responses to the Complaint.

Also on July 18, 2024, Norton Lilly sent an email to the Judges@fmc.gov email address acknowledging receipt of the July 18, 2024, Order. Norton Lilly, however, has not filed a response to the Complaint.

CULines filed a Verified Answer of CULines to Complaint of Simple Forwarding (“Answer”) on July 31, 2024. Respondent reiterated in the Answer that CULines is a non-existent entity, that the legal entities to which Claimant likely refers have not been properly served, and that FMC lacks jurisdiction. Respondent also argued that the Claimant’s claim was meritless. Finally, Responded did not consent to informal procedures.

On August 16, 2024, the Chief Administrative Law Judge issued a Notice of Reassignment to Administrative Law Judge (“Notice of Reassignment”). The Notice of Reassignment noted that CULines did not consent to informal procedures under Subpart S. Therefore, this case was reassigned to an Administrative Law Judge.

On September 3, 2024, counsel for CULines filed a Notice of Withdrawal of Jeffrey/Fenneman Law & Strategy.

On September 11, 2024, Claimant filed a Motion for Leave to Amend Complaint and Request for Return to Informal Adjudication (“Motion for Leave”), along with a proposed amended complaint (“Amended Complaint”). In the Motion for Leave, Claimant seeks to amend the Complaint in five ways. First, Respondent “CULines” is renamed as “China United Lines Ltd aka CULines[.]” Second, Claimant adds the allegation that the Respondents are “persons” involved in oceanborne foreign commerce of the United States. Third, Claimant adds additional information about the basis of its claim. Fourth, Claimant amends its request for relief. Fifth, Claimant adds a several dozen pages of exhibits.

On October 1, 2024, the proceeding was reassigned to the undersigned.

II. Applicable Rules

Any person may file a complaint with the Commission claiming a violation occurring in connection with the foreign commerce of the United States and to seek reparation for any injury caused by that violation. (46 C.F.R. § 502.301(a)). With the consent of both parties, a claim in the amount of \$50,000 or less may be decided by a Small Claims Officer under Subpart S of the Commission's Rules of Practice and Procedure. (46 C.F.R. § 502.301(b)). If the respondent does not consent to proceeding under Subpart S, the claim proceeds before an administrative law judge ("ALJ") under Subpart T. (46 C.F.R. § 502.311).

In general, motion practice is not permitted under Subpart T. (*Compare, e.g.*, 46 C.F.R. § 502.46 with 46 C.F.R. §§ 502.311-321). Under Subpart T, however, an ALJ may require the submission of additional affidavits, documents, or memoranda from complainant or respondent. (46 C.F.R. § 502.314). Likewise, an ALJ may permit the substitution of parties. (46 C.F.R. § 502.321(b) (incorporating 46 C.F.R. § 502.43 by reference)).

Commission Rule 66(a) provides in pertinent part that amendments "will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issue, without opportunity to reply to such amended pleading and to prepare for the broadened issues." (46 C.F.R. § 502.66(a)).

The rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." (46 C.F.R. § 502.12). Under Federal Rule 15(a)(1)(B), "a party may amend its pleading once as a matter of course" within 21 days after service of a responsive pleading. (FED. R. CIV. P. 15(a)(1)(B)). After that period, an amended pleading is permitted with opposing party's written consent or leave of court, which should be freely given when justice so requires. (FED. R. CIV. P. 15(a)(2)). "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." (*Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962)).

III. Analysis

1. Amended Complaint

I will allow Claimant to amend the Complaint. As noted above, motion practice generally is not permitted in a proceeding under Subpart T. Nevertheless, an ALJ may require additional information from the parties under Subpart T, as well as substitute parties. Permitting the Amended Complaint would both provide more information about the claim, as well as clarify the identity of the Respondent CULines.

Regarding the former, the Complaint contained relatively little information about Claimant's claim. For example, the Complaint alleges that Claimant was required to pay "unreasonable and misapplied per diem fees[.]" (Complaint, at ¶ III.E). The Complaint alleges

that Claimant provided Respondents with “terminal screenshots” that “support [Claimant’s] claims[.]” and that Claimant is in possession of “evidence that these charges are unreasonable[.]” (Complaint, at ¶¶ III.F & G). The Complaint, however, contains none of the evidence to support these allegations but for a clip of an email. (Complaint, at ¶ III.H). Under Subpart T, an ALJ can require the Claimant to provide documents substantiating these allegations in the Complaint. (46 C.F.R. § 502.314). The Amended Complaint, which contains several exhibits, as well as more specific information about Claimant’s claim, may provide at least some of the information that an ALJ may otherwise require. Therefore, I permit the Amended Complaint to be filed because it may provide additional information to substantiate Claimant’s claim.

As noted, permitting the Amended Complaint also potentially more clearly identifies one of the Respondents. Respondent CULines argues that “CULines” is a non-existent entity, thus legal entities China United Line Limited and C.U. Lines Limited have not properly been served. (*See generally* Answer). The Amended Complaint appears to be Claimant’s attempt to resolve the issue of whether the proper party is named by identifying the Respondent as China United Lines LTD aka CULines. Under Subpart T, a presiding officer may order an appropriate substitution of parties under appropriate circumstances. (46 C.F.R. § 502.321(b) (incorporating 46 C.F.R. § 502.43 by reference)). Therefore, I also permit the Amended Complaint to be filed because it may resolve the issue of whether the Respondent is the proper party. Further, there are no grounds under the Federal Rules warranting denial of the proposed amendment.

2. Request to for Return to Informal Adjudication

In the Motion to Amend, the Claimant requests that this matter be returned to informal adjudication under Subpart S because counsel for CULines has since withdrawn its representation.

I DENY Claimant’s request. An informal proceeding for claims in the amount of \$50,000 or less requires the “consent of both parties[.]” (46 C.F.R. § 502.301(b)). Although counsel for CULines has withdrawn, CULines’s Answer is still on file, and CULines still does not indicate consent for an informal proceeding.

IV. Order

For the reasons set forth above, **IT IS HEREBY ORDERED THAT:**

1. Claimant’s Motion to Amend the Complaint be GRANTED. The Office of the Secretary is requested to accept the Amended Complaint for filing and to serve the Respondents. The Office of the Secretary is also requested to serve a copy of the Amended Complaint on CULines’s former counsel.
2. It is requested that the case caption be amended to reflect the correct party names as has been done above.
3. Respondents must **ANSWER** the Amended Complaint no later than **November 4, 2024**. Failure to file an Answer may result in a default.

4. Claimant's Request for Return to Informal Proceeding is **DENIED**.

SO ORDERED

Richard C.
Ambrow Jr -S

Richard Ambrow
Administrative Law Judge

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Richard C. Ambrow Jr -S
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